Gandhar Oil Refinery (India) Ltd

Concall Tracker, Q2 2027 · NSE: GANDHAR · BSE: 544029 · written 6 Nov 2026 · builds on our Q1-2027 report · source: company concall transcripts via Screener.in

Plain-word key. Base oil: the refined mineral oil Gandhar buys and blends. PHPO: personal-care, healthcare and performance oils, the white oils in baby oil, creams and medicines. PIO: process and insulating oils, mostly transformer oil for the power grid. Spread: what Gandhar earns on each kilolitre after paying for base oil. Texol: its plant in Sharjah, UAE. EBITDA: operating profit before interest, tax and depreciation.

1. Snapshot

Gandhar buys base oil, blends it into specialty oils and sells them in India and to 100+ countries. It lives on the spread, so its profit swings with base-oil supply it doesn't control.

Number	Value	What it means
Market value	₹2,461 cr	What the market says the whole company is worth today (share ₹251). Still a small-cap.
Q2 FY27 sales	₹1,847 cr	Jul-Sep 2026, consolidated. Up 73% on a year ago and a new record, a bit above the June quarter.
Q2 FY27 EBITDA	₹288 cr	Margin 15.6%, against 6.2% a year ago. Same war-boosted level as June.
Q2 FY27 profit	₹186 cr	Up from ₹40 cr. Slightly lower than June's ₹206 cr because of a one-off flood loss and a staff bonus.
H1 FY27 profit	₹392 cr	Six months' profit is nearly three times the whole of FY26 (₹138 cr).
Price-to-earnings	about 5.6	Screener's figure on the last four quarters. Cheap on paper, because the market doesn't believe these profits last.
Net cash	Cash ₹135 cr vs debt ₹85 cr	Borrowings halved since March. The India company has no debt at all.

Quarter figures are consolidated, from management on the Q2 FY27 call. Market value and P/E from Screener.in (standalone basis).

2. Which calls were read

Quarter	Call date	How it was used
Q2 FY24 to Q4 FY26 (8 calls)	Jan 2024 to Jun 2026	Carried forward from our Q1-2027 report
Q1 FY27	23 Jul 2026	The prior report's last call (its coverage boundary)
Q2 FY27	28 Oct 2026	Newly read in full ★

Only the Q2 FY27 call was read in full this time. The backstory comes from the earlier report. Three older calls (Aug 2024, Feb 2025, Aug 2025) never had transcripts on Screener.

★ Latest concall highlights: Q2 FY27 (28 Oct 2026)

- **The war spread held for a second quarter.** The spread was about ₹29,128 per kilolitre, against roughly ₹9,000 a year ago and ₹28,000 in June. That's why profit is four to five times normal on sales that barely grew in volume.
- **Volumes split in two.** The India business grew volume about 16% in the half. But Texol in Sharjah sits right by the Strait of Hormuz and couldn't get enough base oil, so group volume was up only about 1%. Management had guided 8-11% for the year.
- **Tone changed on margins.** In July they called the spread exceptional. Now they're "quite optimistic" of holding it through Q3 and Q4, and the CFO says it won't fall back to the old ₹8,000-9,000 even after the war. It'll "settle somewhere in between". No number given.
- **Capacity got re-counted, no new capex.** The deck now shows 838,637 kilolitres (India 602,713 plus Texol 235,924), up from the 597,000 quoted before. Management says it's old capital work finally put on the books. The capex plan promised "next quarter or so" in July wasn't announced.
- **One-offs.** A July flood at the Silvassa plant cost about ₹21 cr (shown as exceptional, insurance claim filed). Staff got a ₹15-16 cr bonus. Both lowered profit versus June.

Business mix & capacity. Exports about 48% of consolidated sales (₹1,721 cr in the half), down from 51% in June as Gulf shipping stayed messy. Roughly half the business is now in India and half abroad. Utilisation: India plants about 82% on two shifts, the group about 61% because Texol is starved of raw material. Plain read: on the new, bigger base there's room to grow in India before a third shift or new plant is needed. Note the capacity base was restated this quarter, so these numbers don't line up with last quarter's "97% full".

★ Since our last report

Builds on the Q1-2027 report (last call 23 Jul 2026). Prior verdicts: trigger MAYBE, management MAYBE.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE	Real engine (PHPO, exports, transformer oil), but the record profit is a war windfall	Windfall repeated. Transformer oil still strong, PHPO softened, exports dipped	Unchanged
Management: MAYBE	Deliver on plants, wrong on margin forecasts, but honest about the windfall	Less candid now: talking up a permanently higher spread. Volume guide missed at group level	Slipping
Capex plan	"Shortly announced, next quarter or so"	Not announced. Capacity number restated instead	Slipping
Spread lasting 1-2 quarters	Base case: it reverts	Held in Q2. Guided to hold in Q3 and Q4 too	Better than expected (for now)
Working capital	Stretched from 47 to 91 days	Debtor days about 70 vs 37 before. Half-year operating cash about ₹180 cr on ₹392 cr profit	Still stretched
Texol ramp	"1.5 to 2 years" away for two years	Went backwards. Blocked by Hormuz	Broken (for now)
South Africa entry	Clarity in "1 or 2 quarters"	Not mentioned	Silent

Verdict change: trigger unchanged at MAYBE. Management stays MAYBE but weaker, mostly because the honest "this is exceptional" line has turned into "it won't go back to normal".

★ 3. The earnings trigger

The long-run story hasn't changed: more personal-care and pharma oils, more exports, and transformer oil riding the grid build-out. Transformer oil is the one pillar clearly working, now helped by data-centre power demand. But the profits this year come from one thing: a base-oil shortage after the West Asia war that lets Gandhar charge far more per kilolitre. That's real cash, and it's lasted two quarters, but it isn't a business driver they built.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
War-time spread	Hold ~₹29,000/kL through Q3-Q4; won't return to ₹8-9k after	Two quarters in a row at ~3x the normal spread	Next 1-2 qtrs	Moderate, not durable. Depends on the Strait staying shut	↑ lasted longer than expected
Transformer oil (PIO)	Power and data-centre demand keeps it growing, new customers added	H1 volume +23%	2-5 yrs	Strong. Visible end-market	unchanged
PHPO mix	Still "our forte"	H1 volume flat, Q2 down; personal-care clients losing share to small brands	Ongoing	Moderate	↓ first dip in a while
Exports / Texol	Lost volume "will come back" when Hormuz opens	Export share 51% → 48%; Texol volumes down	1-3 yrs	Weak right now	↓ war cuts both ways
Capacity growth	Capex plan "shortly"	No plan. Restated base of 838,637 kL	Unclear	Unproven	↓ promise not met

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26 (backstory)	Taloja expansion; ~100% utilisation by FY26; better margins every year	Plant built and filled. Margins stayed 5-7% until the war	Partly
Q4 FY24 onward	Fill Texol in "1.5 to 2 years"	Still not full, now going backwards	Missed
Q1 FY27 (Jul 26)	FY27 volume growth 8-11%	India +16% in H1, group about +1%	Partly
Q1 FY27 (Jul 26)	Capex plan "next quarter or so"	Not announced by the Oct call	Missed
Q1 FY27 (Jul 26)	High spreads could hold "1 or 2 quarters"	Held in Q2	Delivered
Q1 FY27 (Jul 26)	South Africa clarity in "1 or 2 quarters"	Not raised on the call	Too-early

Narrative drift. The three-pillar strategy is steady. What shifted is the margin story. In July they flagged the spread as a one-off and refused to guide it forward, which we liked. In October, two quarters in, they're guiding it for the rest of the year and saying the floor is now higher for good, without saying why. Some of that may be right, since base-oil supply is tight and customers haven't pushed back. But it's the same habit of margin optimism we flagged before, and when an analyst asked where the extra spread comes from, the answer was just "optimum sourcing strategy". The capacity restatement also came without a clean bridge from last quarter's numbers.

5. Bottom line

Durable earning trigger? → MAYBE vs last quarter: unchanged

The windfall lasted another quarter and the balance sheet is now net cash, which is real. Transformer oil keeps growing on grid and data-centre demand. But the profit is still a war spread on flat group volumes, the personal-care business softened, Texol went backwards, and there's no capex plan to grow beyond today's plants. If the Strait

opens, earnings drop hard even if the CFO's "somewhere in between" floor holds. A clear growth driver that doesn't depend on a war isn't showing in the numbers yet.

Management consistent? → MAYBE vs last quarter: unchanged, leaning lower

What moved it lower: the capex plan didn't show up, the volume guide was missed at group level, and the frank "this is exceptional" tone turned into talk of a permanently higher spread. What keeps it at MAYBE: they did deliver another strong quarter, kept the books clean by putting the flood loss below the line, paid down debt, and the India business grew volume well. Watch the Q3 call for an actual capex number and for how the spread holds as Gulf supply slowly returns.

Sources: Gandhar Oil Refinery Q2 & H1 FY27 earnings-call transcript (28 Oct 2026, filed 2 Nov 2026) via Screener.in; our Q1-2027 Concall Tracker report on Gandhar for the backstory; Screener.in financial tables. Not investment advice.